

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit [www.djreprints.com](http://www.djreprints.com).

<https://www.wsj.com/articles/texas-instruments-reports-slightly-higher-profit-1461793485>

TECH

# Texas Instruments Reports Slightly Higher Profit

Chip maker's sales fell in personal-electronics segment

By Maria Armental

April 27, 2016 at 5:44 pm ET

Texas Instruments Inc. TXN -2.96% ▼ on Wednesday reported slightly higher profit for the first three months of the year, even as sales fell in its personal-electronics segment.

The Dallas-based chip maker had already warned first-quarter revenue would decline on weakness in the personal-electronics market, which includes mobile phones and so-called wearables that integrate technology into jewelry and clothes.

Shares, up 8% over the past 12 months, rose 1.5%, to \$60.80, in after-hours trading.

Founded in 1930 as Geophysical Service Inc., the company initially focused on reflection seismography, which is used to search for oil. It now counts itself among suppliers for Apple Inc.

TI, which makes chips used in everything from cellphones to industrial equipment, focuses on analog chips, which have a high profit margin, and embedded processors, the “brains” of many electronic devices from electric toothbrushes to driver-assistance systems that help drivers, for example, to maintain adequate distance between cars and park.

In the latest period, sales of analog chips fell 8%, to \$1.88 billion, while sales of embedded processors improved 8%, to \$729 million.

Apple accounted for about 11% of TI's revenue in 2015, largely in its analog segment.

Over all, TI reported a profit of \$668 million, or 65 cents a share, compared with \$656 million, or 61 cents a share, a year earlier.

Revenue fell 4.5%, to \$3.01 billion, largely because of weakness in the personal-electronics market.

TI had projected profit of 57 cents to 67 cents a share on \$2.85 billion to \$3.09 billion in revenue.

Historically, the first and fourth quarters are the company's weakest.

Gross profit margin improved to 60.6% from 57.7%.

TI projects second-quarter profit of 67 cents to 77 cents a share on \$3.07 billion to \$3.33 billion in revenue, compared with analysts' projected 71 cents a share on \$3.18 billion in revenue, according to Thomson Reuters.

**Write to Maria Armental at [maria.armental@wsj.com](mailto:maria.armental@wsj.com)**

---

Maria Armental covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

Before joining the Journal, Maria was a reporter for the Providence Journal....

Follow



